(a) Explain the computation of Taxable turnover under VAT with imaginary transactions. 8

(b) Write in brief about object, main features and provisions of Central Sales Tax. 8



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## M. B. A. (Third Semester) Examination, Nov.-Dec. 2017

**(New Course)**

**(Management Branch)**

**(Specialization : Finance Management)**

**TAXATION and TAX PLANNING**

***Time Allowed : Three hours***

***Maximum Marks : 80***

***Minimum Pass Marks : 32***

***Note :*** *Answer questions of all sections as directed. All questions carry equal marks.*

**Section - 'A'**

**1.** (a) How is the residential status of an individual determined for income tax purpose? Explain. 6

(b) Mr. Prabhat has the following income for the previous year ending 31st March, 2015 : 10

(i) Income from salary from the Government of India (He lived in Germany for three months due to his service and received salary for such period there) Rs. 4,00,000.

(ii) Income from Business in Delhi, managed from Germany Rs. 50,000.

(iii) Income was earned in Germany and received there but brought in India Rs. 30,000.

(iv) Interest from a foreign company received in Germany and deposited in a Bank there Rs. 25,000.

(v) Income from business in Germany controlled by Delhi Head Office Rs. 35,000.

(vi) Income from House property in India received in Germany Rs. 20,000.

(vii) His father gifted him from Berlin Rs. 15,000.

(viii) Interest on debentures from an Indian





company received in Germany and spent there Rs. 20,000.

Compute his taxable income, if he is :

(i) Ordinarily Resident

(ii) Not Ordinarily Resident

(iii) Non Resident

**Or**

(a) What do you understand by the term Agricultural Income? Explain its types with examples. 8

(b) Mr. X a foreign citizen leaves India for the first time in the last 20 years on November 20, 2012. During the calender year 2013 he came in India on September 1 and stayed for a period of 30 days. During the calender year 2014, he did not visit India at all. He came to India on January 16, 2015 and did not left there after. 8

Determine the residential status of Mr. X for the assessment year 2015-16 if :

(i) He is an Indian origin,

(ii) He is not an Indian origin

## Section - 'B'

2. Shri Bahubali was a manager in a factory in Chennai which is not covered by the payment of Gratuity Act. His basic salary was Rs. 40,000 per month; Dearness Allowance was Rs. 4,000 per month; House Rent Allowance was Rs. 2,500 per month; He resides in his own house.

He retired on 1st January, 2015 and received Rs. 4,00,000 as Gratuity and Rs. 5,00,000 as accumulated balance in his unrecognized Provident Fund. His own contribution and that of the factory to his fund was equal. He also received Rs. 4,40,000 being the amount of salary including dearness allowance for 10 months, earned leave to his credit at the time of retirement.

He was entitled for pension of Rs. 10,000 per month, three fourth of which was commuted for Rs. 3,00,000. He started his service on 1st August, 1982 and his averge salary during the ten months immediately preceeding his retirement was Rs. 39,000.

Compute his taxable income from salary for the assessment year 2015-16. 16

**Or**





(a) Explain the provisions relating to exemption and taxability of gratuity received on retirement and compensation received on retrenchment. 8

(b) Shri Jaikant Shirke is the owner of four houses. Particulars of his house properties for the previous year 2014-15 are as under

House-1 : This house is being used for self-residential purpose. Its municipal value is Rs. 16,000 per annum.

The following expenses are made for this house : Municipal tax Rs. 600; Repairs Rs. 500 and Fire Insurance Premium Rs. 210; Interest on loan taken for construction of this house Rs. 37,000.

House-2 : The municipal valuation of this house is Rs. 65,000 and it is let out for Rs. 5,000 per month. Expenses : Municipal Tax Rs. 5,000; Repairs Rs. 1,000; Collection charges Rs. 600 and Ground rent Rs. 1000.

House-3 : This house was completed on 1.8.2014 and let out for residential purpose at a rent of Rs. 1,200 per month. Expenses : Municipal Tax 10% on the valuation of 9,000. Interest Rs. 500 was paid for the loan taken for constrction of the house.

House IV : Its municipal valulation is 3000 per annum and it is used for owner's self business.

Compute the Income from House Property for the Assessment Year 2015-16. 8

**Section - 'C'**

3. (a) The following information obtained from examining the Profit and Loss A/c of a trader : 10

(i) General expenses includes donation to public educational Institution Rs. 800; gift to employees and children on the occasion of Diwali Rs. 6,000 and Rs. 5,000 respectively.

(ii) Interest A/c was debited with Rs. 800 on A/c of Interest on loan taken from his wife and salary debited with Rs. 12,000 given to son. His son does not take active participation in the business.

(iii) Subscription to Cloth Market Association Rs. 2000.

(iv) Cost of patent debited with Rs. 30,000.

(v) Provision for Bad debt Rs. 2,500 Actual Bad debt Rs. 2,000.





From the above information throw light on allowed and disallowed items from Income Tax point of view with justification.

(b) Explain the special provisions of Income Tax relating to computation of taxable income u/s 44AD and u/s 44 AE. 6

**Or**

(a) Describe the method of computing income by showing some income item under the head "Income From Other Sources". 8

(b) Mr. Baji Rao sells Jewellery on 15.6.14 for Rs. 10,10,000 and brokerage paid on sale of it Rs. 10,000. Cost of the jewellery on 25.5.1987 was Rs. 90,000 on 01.12.14 purchased as residential house for Rs. 5,00,000. The C I I for 1987-88 was 150 and for 2014-15 was 1024. Compute the taxable capital gain for the AY 2015-16. 8

**Section - 'D'**

4. A firm shows profit of Rs. 11,20,000 after the following payments to three equal partners Varun, Shahid and Ranveer : 16

Bonus to Varun Rs. 3,50,000; Shahid Rs. 3,00,000; Salary to Ranveer Rs. 4,00,000. Interest on capital to Varun @ 14% p.a. Rs. 35,000; to Shahid @ 14% p.a. Rs. 70,000, to Ranveer @ 14% p.a. Rs. 70,000. Rent to Shahid for firm's business house Rs. 1,20,000. Interest on loan taken from Varun's wife @ 15% p.a. Rs. 60,000. Interest on loan taken from Ranveer @ 12% p.a. Rs. 50,000. Compute total income for the assessment year 2015-16. Bonus, Salary and Interest have been paid to partners under the terms of partnership deed. Also calculate the tax payable by firm.

**Or**

(a) Write about the provisions of the Income Tax Act regarding deductions to be made from Gross Total Income in computing the Total Income of an Assessee u/s 80 C to 80 U. Write at least six deductions. 6

(b) Mr. Rohit has furnished the following details, about the Income for the previous year 2014-15 :

(i) Income from Salary Rs. 1,38,000

(ii) Income from House property :





| | |
|---|---|
| Income from House A | Rs. 8,000 |
| Loss from House B | Rs. 6,000 |
| Loss from House C | Rs. 4,500 |

(iii) Income from Business :

| | |
|---|---|
| Profit from Business | Rs. 17,000 |
| Current year depreciation | Rs. 6,500 |
| Previous trade losses | Rs. 4,500 |
| Profit from Speculation Business | Rs. 4,000 |

(iv) Capital Gains :

| | |
|---|---|
| Short term capital gain | Rs. 16,000 |
| Long term capital gain in shares | Rs. 5,200 |
| Long term capital losses in Building | Rs. 12,500 |

(v) Income from other sources Rs. Nil

Compute Gross Total Income after setting of the taxes. 10

**Section - 'E'**

5. "Tax planning is a process to minimize tax liability". Justify the statement. 16

**Or**